BROKERAGE AND ASSET MANAGEMENT

Brokerage and Asset Management (BAM), which constituted approximately 6% of Citi Holdings by assets as of December 31, 2009, consists of Citi's global retail brokerage and asset management businesses. This segment was substantially affected and reduced in size in 2009 due to the divestitures of Smith Barney (to the Morgan Stanley Smith Barney joint venture (MSSB JV)) and Nikko Cordial Securities. At December 31, 2009, *BAM* had approximately $35 billion of assets, which included $26 billion of assets from the 49% interest in the MSSB JV ($13 billion investment and $13 billion in loans associated with the clients of the MSSB JV) and $9 billion of assets from a diverse set of asset management and insurance businesses of which approximately half will be transferred into the *LATAM RCB* during the first quarter of 2010, as discussed under "Citi Holdings" above. Morgan Stanley has options to purchase Citi's remaining stake in the MSSB JV over three years starting in 2012. The 2009 results include an $11.1 billion gain ($6.7 billion after-tax) on the sale of Smith Barney.

In millions of dollars	**2009**	2008	2007	**% Change 2009 vs. 2008**	% Change 2008 vs. 2007
Net interest revenue	**$ 432**	$ 1,224	$ 908	**(65)%**	35%
Non-interest revenue	**14,703**	7,199	9,751	**NM**	(26)
Total revenues, net of interest expense	**$ 15,135**	$ 8,423	$ 10,659	**80%**	(21)%
Total operating expenses	**$ 3,350**	$ 9,236	$ 7,960	**(64)%**	16%
Net credit losses	**$ 3**	$ 10	$ —	**(70)%**	—
Credit reserve build/(release)	**36**	8	4	**NM**	100%
Provision for unfunded lending commitments	**(5)**	—	—	**—**	—
Provision for benefits and claims	**$ 155**	$ 205	$ 154	**(24)%**	33%
Provisions for loan losses and for benefits and claims	**$ 189**	$ 223	$ 158	**(15)%**	41%
Income (loss) from continuing operations before taxes	**$ 11,596**	$(1,036)	$ 2,541	**NM**	NM
Income taxes (benefits)	**4,489**	(272)	834	**NM**	NM
Income (loss) from continuing operations	**$ 7,107**	$ (764)	$ 1,707	**NM**	NM
Net income (loss) attributable to noncontrolling interests	**12**	(179)	35	**NM**	NM
Net income (loss)	**$ 7,095**	$ (585)	$ 1,672	**NM**	NM
EOP assets *(in billions of dollars)*	**$ 35**	$ 58	$ 56	**(40)%**	4%
EOP deposits *(in billions of dollars)*	**60**	58	46	**3**	26

NM Not meaningful

2009 vs. 2008

Revenues, net of interest expense increased 80% versus the prior year mainly driven by the $11.1 billion pretax gain on the sale ($6.7 billion after-tax) on the MSSB JV transaction in the second quarter of 2009 and a $320 million pretax gain on the sale of the managed futures business to the MSSB JV in the third quarter of 2009. Excluding these gains, revenue decreased primarily due to the absence of Smith Barney from May 2009 onwards and the absence of fourth-quarter revenue of Nikko Asset Management, partially offset by an improvement in marks in Retail Alternative Investments. *Revenues* in the prior year include a $347 million pretax gain on sale of CitiStreet and charges related to the settlement of auction rate securities of $393 million pretax.

Operating expenses decreased 64% from the prior year, mainly driven by the absence of Smith Barney and Nikko Asset Management expenses, re-engineering efforts and the absence of 2008 one-time expenses ($0.9 billion intangible impairment, $0.2 billion of restructuring and $0.5 billion of write-downs and other charges).

Provisions for loan losses and for benefits and claims decreased 15% mainly reflecting a $50 million decrease in provision for benefits and claims, partially offset by increased reserve builds of $28 million.

Assets decreased 40% versus the prior year, mostly driven by the sales of Nikko Cordial Securities and Nikko Asset Management ($25 billion) and the managed futures business ($1.4 billion), partially offset by increased Smith Barney assets of $4 billion.

2008 vs. 2007

Revenues, net of interest expense decreased 21% from the prior year primarily due to lower transactional and investment revenues in Smith Barney, lower revenues in Nikko Asset Management and higher markdowns in Retail Alternative Investments.

Operating expenses increased 16% versus the prior year, mainly driven by a $0.9 billion intangible impairment in Nikko Asset Management in the fourth quarter of 2008, $0.2 billion of restructuring charges and $0.5 billion of write-downs and other charges.

Provisions for loan losses and for benefits and claims increased $65 million compared to the prior year, mainly due to a $52 million increase in provisions for benefits and claims.

Assets increased 4% versus the prior year.